UK CINEMA association



Promoting the big screen

Annual Report 2017

Promoting the big screen

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Introduction

2017 was another strong year for the UK cinema sector.

The cinema-going public again responded to a diverse film slate and the continued investment by cinema operators in all aspects of the big screen experience such that 2017 out-performed the preceding year in terms of both box office and admissions, the former setting a new UK record.

Film distribution colleagues again played a major role here, continuing to observe a 12 months, 52 weeks of the year release strategy, with films from every quarter of 2017 eventually occupying the final year's top ten.

But also key were unprecedented levels of investment in the UK sector, with the dividend provided by digitisation and the continuing emergence of 'high end' business models in particular resulting in a significant number of refurbishments and new-builds emerging during the year (and planned for years to come).

All of the above provided further evidence both of the health of the UK cinema sector and its ongoing resilience in the face of economic and other commercial challenges.

While preparations for 'Brexit' continued to take up a good deal of the attention of key politicians and policy-makers, there were nevertheless a range of opportunities in 2017 for the Association to reinforce with that same constituency its core message around the economic, social and cultural value of the UK cinema sector.

During the year, the Association continued to work with its members and colleagues from across the industry on a wide range of strategic and operational issues.

As in previous years, a significant amount of Association time was spent on issues around disability and access, with the aim of maintaining and enhancing the reputation of the UK sector as a World leader in accessibility.

Efforts to maintain the security of film content also continued to enjoy great success, with no recorded instances in 2017 of films being recorded in a UK cinema.

A well-received conference on data and analytics saw the establishment of an exercise to identify a preferred partner for a collective deal for smaller operator members in this area.

2017 saw the *Meerkat Movies* 2 for 1 cinema ticket promotion continue to grow, providing further evidence of its value in driving incremental cinema admissions for operators of all sizes.

The Association remains dependent on – and hugely grateful for – the support and engagement of both its Executive Board, its wider membership and partners across the industry as it endeavours to support cinema operators large and small as they endeavour to ensure that as many people as possible choose to see films in their best possible setting – the cinema theatre.



01

UK cinema performance – an overview


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The UK year in review

1.1 2017 was another strong year for the UK cinema sector. The cinema-going public again responded to a diverse film slate and the continued investment by cinema operators in all aspects of the big screen experience such that 2017 out-perform the preceding year in terms of both box office and admissions, the former setting another UK record.

1.2 The monthly figures for UK admissions in 2017, alongside those for 2016, are set out below.

Country	**Cinema admissions 2017**	Cinema admissions 2016	Change %
January	**14,995,364**	14,029,310	+6.9
February	**16,479,373**	15,352,658	+7.3
March	**16,153,356**	13,388,081	+20.7
April	**15,642,269**	13,134,753	+19.1
May	**11,340,178**	12,498,334	–9.3
June	**9,583,856**	10,707,878	–10.4
July	**17,803,869**	16,590,400	+7.3
August	**14,474,561**	18,088,513	–20.0
September	**10,783,134**	11,664,455	–7.6
October	**12,106,187**	15,191,619	–20.3
November	**14,089,744**	12,397,524	+13.6
December	**17,164,883**	15,216,370	+12.8
Total	**170,616,774**	168,259,894	+1.4

Source: Cinema Advertising Association

1.3 The top ten films for the year were as follows.

	Title	Distributor	**Box office £m**
1	**Star Wars: The Last Jedi**	Walt Disney	**69.36**
2	**Beauty and the Beast**	Walt Disney	**67.84**
3	**Dunkirk**	Warner Bros	**53.27**
4	**Despicable Me 3**	Universal	**44.31**
5	**Guardians of the Galaxy Vol. 2**	Walt Disney	**38.78**
6	**Paddington 2**	Studiocanal	**36.55**
7	**It**	Warner Bros	**29.88**
8	**Thor: Ragnarok**	Walt Disney	**29.02**
9	**La La Land**	Lionsgate UK	**28.58**
10	**Spider-Man: Homecoming**	Sony	**28.39**

Source: ComScore

1.4 The year began strongly, with *Rogue One: A Star Wars Story* – released late in 2016 – still performing well, and the musicals *Sing* and especially the awards-nominated *La La Land* proving popular with audiences. The latter in particular capitalised on its eventual BAFTA 'best film' award to continue to do strong business well into the year.

1.5 That positive start was maintained into the early months of 2017, with a diverse range of films – including *The LEGO Batman Movie, Fifty Shades Darker* and *T2: Trainspotting* – all enjoying success at the box office. However the year really took off in March with the release of *Beauty and the Beast*, a title which went on to become the second biggest movie of the year, overshadowing even the contribution of *Logan* and *Kong: Skull Island* in making March 2017 the most successful March in terms of admissions for almost 50 years. As a result, the sector finished the first quarter of 2017 over 10 per cent up on the previous year.

1.6 While titles such as *Fast and Furious 8, Boss Baby* and in particular *Guardians of the Galaxy Vol.2* worked hard to sustain that early success, the Spring and Summer months undoubtedly proved challenging for the sector, with a number of much-anticipated titles not engaging audiences in the way that might have been hoped. *Wonder Woman, Spider-Man: Homecoming* and in particular *Despicable Me 3* (which went on to become the fourth biggest film of the year) all bucked that trend, but the Summer in particular saw only *Dunkirk* enjoy success during a generally flat period for the sector.

1.7 The third quarter of the year saw a stronger showing, with the unanticipated success of *It*, supported by *Kingsman: The Golden Circle* and *Thor: Ragnarok*. But it was the arrival of *Paddington 2* in November which marked the serious upturn in fortunes for the sector which continued on until the end of the year.

1.8 That was particularly true of December, which ended up over 12 per cent up on the same month in 2016, primarily due to the exceptional performance of *Star Wars: The Last Jedi,* which went on to be the biggest film released in 2017 and now stands as the fifth biggest film of all time.

1.9 Overall the year ended up, both in terms of box office (at £1,277,878,351, up 2.5 per cent on 2016) and admissions at (170,616,775, up 1.3 per cent), the former representing another record year for the sector.

1.10 That performance was underpinned by another solid contribution to the box office by British films, where UK independent and UK-qualified content accounted for 21.2 per cent of total revenues.

1.11 Within those same headline figures, digital 3D continued to make a significant contribution, with six of the top ten films of the year available in that format.

Global cinema sector

1.12 In terms of global box office, the US remained the biggest film territory, and – in another sign of changing times – South Korea for the first time entered the top six, displacing France. Japan occupied third place, with the UK remaining the fourth-ranked global film territory (the disparity in UK box office figures compared to those above relates to changing currency exchange rates).

Country	**Cinema box office 2017 $ million**	Cinema box office 2016 $ million	Change %
1 USA	**10,236***	10,525	–2.7%
2 China	**8,277**	6,886	+20.2%
3 Japan	**2,038**	2,164	–5.8%
4 U.K.	**1,645**	1,657	–0.7%
5 India	**1,577***	1,485	+6.2%
6 South Korea	**1,555**	1,502	+3.5%
7 France	**1,512**	1,511	0.0%
8 Germany	**1,193**	1,132	+5.4%
9 Australia	**920**	936	–1.7%
10 Russia	**918***	709	+29.5%

Source: IHS Markit

*Provisional figures

European cinema sector

1.13 While UK cinema admissions remained strong, other European film territories experienced widely differing fortunes during 2017, the result of a number of factors including local economic conditions and the domestic film slate.

Country	**Cinema admissions 2017 million**	Cinema admissions 2016 million	Change %
Austria	**14.5**	15.0	–3.6%
Denmark	**12.5**	13.5	–7.4%
Finland	**8.9**	8.6	+3.0%
France	**209.2**	213.1	–1.8%
Germany	**122.3**	121.1	+1.0%
Ireland	**16.1**	15.8	+2.1%
Italy	**92.3**	105.3	–12.4%
Netherlands	**36.0**	34.2	+5.3%
Norway	**11.8**	13.1	–10.3%
Portugal	**15.6**	14.9	+4.4%
Russia	**213.6**	195.5	+9.3%
Spain	**99.7**	100.2	–0.5%
Sweden	**16.9**	17.6	–4.1%
Switzerland	**13.8**	13.7	+1.0%
Turkey	**71.6**	58.6	+22.1%
U.K.	**170.6**	168.3	+1.4%

Source: UNIC





02

Strategic issues



2.1 During 2017, the Association supported and represented its members across a range of strategic issues. Below is a headline account of the relevant activities of the Association in these areas.

Release windows

2.2 The Association strongly supports the principle of maintaining a clear 'window' between a film's theatrical release and its release on other platforms, believing that this ensures that audiences continue to enjoy the widest possible range of films in their intended environment, the cinema theatre. It is the unique nature of the cinema experience that means that so many cinemas across the UK remain key focal points for their local communities.

2.3 During the course of 2017, the average theatrical release window increased from 102 to just over 110 days. As ever however, this masked a wide range of practices, with a number of films being released on very short windows of less than two weeks and an increasing number observing windows of 30–90 days.

2.4 While decisions on the release window around any individual film are a commercial matter between exhibitors and the relevant distributor, and not therefore something in which the Association has any role, it would be concerned by any moves taken in this regard which were at the expense of cinema exhibition, a part of the film industry which continues to perform strongly and provide a solid foundation for subsequent elements of film revenue.

2.5 As has been the case in recent years, 2017 saw a small number of attempts from outside of the industry to 'disrupt' the current business model, typically through the promotion of an early video-on-demand service. While in the end none of these came to fruition, dialogue continued *within* the industry (and on a commercially confidential basis) on how best to meet the needs of the customer while maintaining economic viability.

British Film Institute (BFI)

2.6 The Association remained actively engaged throughout 2017 with a number of strands of activity led or co-ordinated by the British Film Institute (BFI). More details on specific elements are set out below.

BFI Film Audience Network

2.7 During 2017, the BFI reviewed the performance of its Film Audience Network (FAN), established during the previous funding term to deepen and widen audiences for British independent and specialised film.

2.8 In responding to the consultation exercise that led to the development of *BFI 2022*, the new five year strategy for the organisation, the Association had made clear that while supporting the underlying aim of the Network, it did have concerns about the extent to which more mainstream venues were seen as genuine partners in this endeavour. Issues had also arisen where the related BFI Neighbourhood Fund had negatively impacted in some cases on existing mainstream provision.

2.9 When *BFI 2022* was published, the Association was therefore pleased to see the discontinuation of the Neighbourhood Fund and – when changes to the FAN were announced late in 2017 – realignment of the FAN areas along more logical geographical boundaries, as well as the more explicit requirements around local consultation and partnership building.

BFI Independent Film Commission

2.10 Also as part of its *BFI 2022* strategy, in late 2016 the BFI had announced plans to establish a commission to look into the health of the UK independent film industry, a part of the sector acknowledged to be experiencing a range of challenges. The exact terms of reference of the Commission – chaired by Zygi Kamasa of Lionsgate – were announced in July with the final membership confirmed soon afterwards.

2.11 Recognising the fundamental value of this sector to its members in terms of both audience development and box office revenue, the Association made clear from the outset its desire to contribute to the work of the Commission, welcoming in particular the inclusion of two leading exhibition executives – Philip Knatchbull of Curzon and Kevin Styles of Vue International – as members of the group.

2.12 With an understanding that any potential solutions would only achieve significant change if they involved mainstream cinemas – and thus needed to make commercial sense – discussions on what more might be done in this area continued as the year closed.

BFI 5–19 film education scheme – Into Film

2.13 Through the cross-sectoral body Cinema First, the UK cinema industry provides annual funding of £700,000 to Into Film, which aims to put film at the heart of children and young people's educational, cultural and personal development and which is the delivery partner for the BFI 5–19 film education scheme.

2.14 Established in 2013 and with unparalleled reach and film industry support, Into Film engages over a million young people each year, working with over half of UK schools via an active network of 9,000 film clubs, creative learning resources and teacher training. Cinema First investment in Into Film supports a range of activities to grow young people's passion for, affinity with and respect for film and cinema, with the aim of them becoming the paying audience of the future. The flagship event of this audience development activity is the Into Film Festival – the largest free film festival in the World.

2.15 The 2017 Festival, which ran over three weeks in November, saw 486,000 young people and their teachers attend 3,000 screenings, special events and previews across over 600 cinema sites. The Festival was supported by all of the major UK cinema companies as well as by a large number of smaller operator members of the Association. Over half of the programme was accessible, including audio described, subtitled and autism friendly screenings.

2.16 Festival highlights included 'pupil premieres' of *Paddington 2* and *Coco*, previews of *The Florida Project* and *Battle of the Sexes* and titles ranging from *Blade Runner 2049* to *Call Me By Your Name*, with talks from a range of UK film talent (including actors Will Poulter, Dave Johns and Naomi Ackie, technicians, art department talent, film critics and beyond), as well as exciting film experiences like 4DX, VFX and virtual reality workshops. A specially-commissioned pre-reel trailer championed the gold 'standard' big screen experience and many operators offered 'bounce-back' incentives to encourage this audience to return as paying customers post-Festival.

2.17 As part of a wider government-backed education campaign and working in partnership with the Industry Trust for IP Awareness and international educational bodies, Into Film also ran several campaigns to increase respect for IP amongst young people. A cinema trailer, online animation and complimentary classroom resources helped teachers and students discuss the complex issues involved and widened their knowledge of the subject. The campaign reached 1,301,216 young people during the year.

National Film and Television School

2.18 Cinema operators rely on a large number of others in the wider film industry in order to be successful, not least those who create films for the big screen, be they in front of or behind the camera. Foremost amongst those institutions which make a contribution in this regard is the National Film and Television School (NFTS), recognised by many as the best film school in the World, and the originator of countless Oscar, BAFTA and other industry award-winning professionals.

2.19 Recognising that pre-eminence, in 2017 the Association continued to provide funding and in-kind support to a new MA delivered by the NFTS in Marketing, Distribution, Sales and Exhibition, looking to involve members from across a range of disciplines in providing 'real World' experience to students taking the qualification.

Music rights

2.20 The issue of music rights collection remains a key concern for cinema operators, not just to Association members but also to their counterparts across Europe. In the UK, music rights payments to songwriters and composers are collected by the collecting agency PRS for Music, with cinemas required to pay a fee for music played in their cinemas, whether as part of a film or event or simply as background music in foyers and auditoriums.

2.21 Association members support the right of all creative people to be rewarded for their work. However, they also strongly believe that it is important that the royalties paid are a fair and appropriate reflection of the value that music provides to the overall experience. There is also the need to ensure transparency in the system so that it is clear how performers are rewarded for their work.

2.22 Association members continue to believe that the fees demanded by PRS are too high and do not reflect the contribution of music to the modern cinema-going experience. Equally it is understood that PRS would like to see their members realise an even larger return.

2.23 While neither side is happy with the status quo, given the potential downside of opening up debate on the current complex tariff, Association members agreed to this being 'rolled over' unchanged into 2017. However the Association reserves the right to revisit this position should circumstances change.

Film Complaints Panel

2.24 The work of the Film Complaints Panel, reconstituted in 2014 under the Chairmanship of Thomas Dillon, continued during the course of the year. Although the Panel had no formal hearings. Thomas kept in touch with the changing characteristics of the sector through the UK Cinema Association and its counterpart, the Film Distributors' Association.





03

Legislation and lobbying







3.1 2017 saw a number of political issues and policies emerge which presented a challenge to the interests of Association members. A summary of areas in which the Association sought to influence the political and public policy agenda is below.

Pro-cinema messaging campaign

3.2 At the beginning of the year, the Association recruited the agency Teneo Blue Rubicon as its new PR and public affairs partner, with the aim of refreshing its pro-cinema messaging campaign and establishing a more compelling and inclusive narrative about the economic, social and cultural value provided by the UK cinema sector.

3.3 As part of this work, members were invited to provide case studies and examples of how their companies, their sites and individual employees delivered such value. This elicited a diverse range of responses, many of which were used to strengthen the Association's engagement with national, local and trade media covered elsewhere in this report. This also allowed a significant redraft of the Association's 'Facts and figures' brochure, which has proved a very useful tool in recent years in raising levels of awareness about the sector.

3.4 Despite all of this activity – and continued efforts to encourage MPs to visit their local cinema – prolonged consideration of Brexit continued to prove a significant hindrance to the normal run of political affairs throughout the year. As a result, while the Association were able to persuade a number of MPs to participate in its ongoing programme of local cinema visits, gaining the attention of Ministers in particular remained challenging.

3.5 That said, the Association did have success in engaging relevant officials across Government with the organisation of a 'friends and family' screening of *Star Wars: The Last Jedi* at the newly-refurbished Vue West End in December. The generous support of colleagues at Walt Disney Studios was very much welcomed for this event.

Film theft

3.6 The Association continued to support the lobbying efforts of the Alliance for Intellectual Property, which maintained pressure on the UK Government to ensure in particular the maintenance of strong copyright legislation in the EU as well as promoting enforcement and education initiatives via the European Observatory on Infringements of Intellectual Property Rights and in the UK with the Intellectual Property Office.

3.7 During the year, the Alliance also led on a number of key initiatives in the UK, including the 'Voluntary Code on Search' – a World-first agreement between rightsholders and search engines on demoting pirate sites, and the Real Deal Online, an initiative that promotes best practice for online retail platforms. It also continued to deliver consistent messages on the value and importance of IP to the UK economy, in particular through a report launched with Matt Hancock, Secretary of State for Digital, Culture, Media and Sport. British IP Day in July once again also provided a focus for businesses and creators to engage politically and raise the profile of IP in Parliament, with the Alliance meeting over 80 MPs during the course of the year.

Public health

3.8 Over a number of years, the Association has worked with its members in responding to increasing public concerns around the potential health impacts of certain food and drink offerings. Industry-wide responses have included providing customers with more detailed nutritional information, offering 'healthier' alternatives, reducing portion sizes and working with suppliers to support the reformulation of key products.

3.9 During 2017, and a year on from the publication of the Government's Childhood Obesity Strategy, the Association engaged in particular with Public Health England (PHE), which has been tasked with overseeing measures to reduce sugar intake and calorie consumption in England.

Soft Drinks Levy

3.10 One of the key commitments made in the Childhood Obesity Strategy was the introduction of the soft drinks levy (or 'sugar tax'), a measure which will come into force in April 2018.

3.11 The Levy is aimed at the producers and importers of added sugar soft drinks, with the intention both of encouraging suppliers to reformulate their overall product ranges and customers to choose low/no added sugar products. UK cinema operators clearly have an interest in this measure, given the extent to which soft drinks are a staple of the cinema food and beverage offer.

3.12 Decisions by suppliers on whether to pass any additional costs arising from the Levy on to cinema operators and in turn by cinema operators on whether they do likewise with customers are commercial matters and therefore not issues in which the Association has a role. However during the course of 2017, the organisation did continue to advise members of the detail of these provisions, and to engage with other relevant trade bodies in order better to understand and communicate the likely impacts of these changes.

Sugar Reduction Programme

3.13 A key plank of the PHE approach is the Sugar Reduction Programme, which aims to achieve a 20 per cent reduction in sugar levels in food by 2020, including a 5 per cent reduction in year one (by end August 2017).

3.14 To support this, in August PHE published industry guidelines for the nine categories of foods that it felt made the most significant contribution to children's sugar intake. Amongst these were a number of categories relevant to the cinema sector, including biscuits, yoghurts, sweet and chocolate confectionery and ice-cream. That relevance will increase when these categories are extended in 2018 to include fruit and vegetable juices and milk-based drinks.

3.15 The Association represented members at a number of meetings with PHE and Department of Health officials, convened to discuss many of the above issues. Its position at these and more generally remained that – while cinemas will always look to explore what more they might do in this regard, – there needs to be recognition that there is a large element of consumer choice here, and that the contribution of cinema food and drink to any overall public health issue is likely to be insignificant.

Business rates

3.16 In the first few months of 2017, the Association was made aware of a number of members facing potentially significant increases in business rates for the period 2017–2018. While this was in part caused by changes in local economic conditions since the last valuation exercise, it was also strongly felt by many that the framework being used by the Valuation Office Agency to assess the rateable value of cinemas was now markedly out of step with modern business models in the sector.

3.17 The Association made clear its concerns both to HM Treasury and to local MPs in constituencies where cinemas were facing increases of anything up to 250 per cent in these costs. In particular, it stressed that the consequences of such sudden and unaffordable increases went beyond even the local economic impact, important though that was, and potentially endangered a key aspect of the social and cultural life in each affected community.

Referendum on UK membership of the European Union ('Brexit')

3.18 Being a broad-based organisation that brings together members with a wide range of viewpoints, the Association had not taken a formal position in the run-up to the referendum on EU membership which took place in June 2016. However, following the vote to leave, the Association did involve itself in discussions on how any downsides could be reduced, and upsides maximised.

3.19 While in all probability the departure of the UK from the EU will have only a limited direct impact on the UK cinema sector, there do remain some concerns, and even more significant challenges arising from its impact 'upstream', in particular around film production. On the former, a number of Association members benefit from funding from the Europa Cinemas scheme, which provides financial incentives for sites to show non-UK European film content. For colleagues in production, the potential impact of 'Brexit' on free movement of labour both into and out of the country, as well as on the existing tax credit scheme for inward film investment, are all seen as significant threats to the long-term success of that sector.

3.20 During the year, the Association was involved in a number of roundtable discussions with colleagues from across the film industry, convened by the British Film Institute and intended to develop a coherent manifesto for Government as it entered the inevitably complex challenge of negotiating the UK's exit from the EU. Those discussions continued as the year closed.

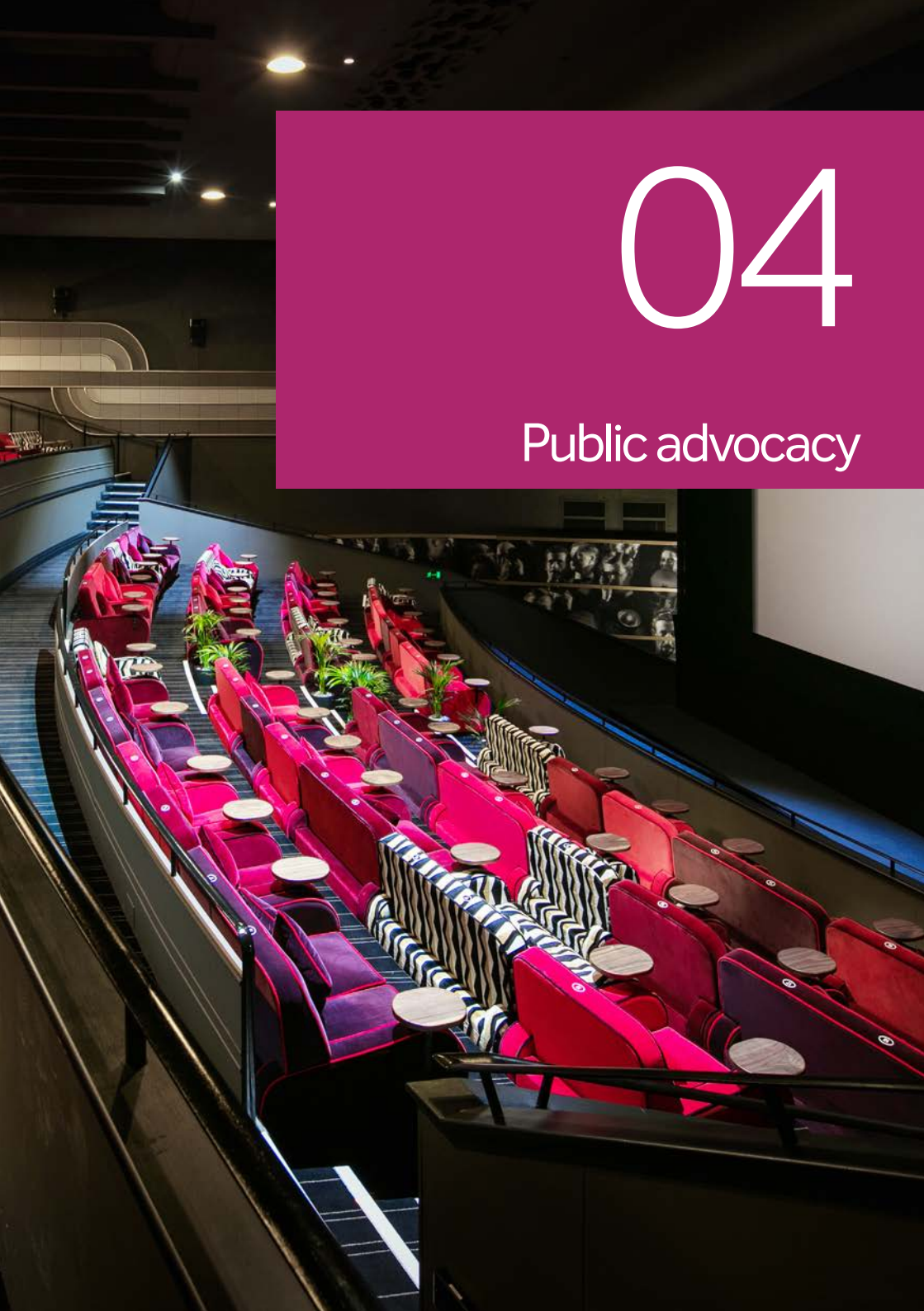
Mayor of London

3.21 As its name would suggest, the UK Cinema Association looks to serve the interests of members across all four nations and all regions, and great efforts have been made in recent years – in particular through the regional branches – to ensure an equitable share of Association resource and attention.

3.22 However the location of the head offices of a number of its larger members (and all of the major distributors) in London inevitably means that the capital's cinema landscape can on occasion become a priority, something which was amplified by the increasing interest of Mayor of London Sadiq Khan in cinemas as a key part of the cultural infrastructure of Greater London.

3.23 This was exemplified by an invitation extended to the Association by the Mayor to attend a roundtable on film and TV in the capital and an explicit mention of the role of cinemas as drivers if regeneration when he launched the £70 million 'Good Growth Fund' in June. This was followed up by a grant of £40,000 from the Mayor's Regeneration Fund to the Rio, Dalston as part of its fund-raising efforts.





04

Public advocacy

Pro-cinema messaging

4.1 During the course of the year, the Association continued its efforts to make the voice of UK cinema operators heard on key issues. Working with newly-recruited partners Teneo Blue Rubicon, the Association made proactive efforts to engage with a wide variety of key contacts in the print, online and broadcast media to ensure that they were aware of the sector's position on issues affecting the industry and to rebut any negative stories that arose.

Specific issues

4.2 As well as offering more general commentary, the Association was called upon to offer specific comment during the year in a number of key areas. Particular examples are set out below.

Health of the UK cinema sector

4.3 The Summer months in particular saw a series of opinion pieces emerge in the media which – erroneously – drew on challenges in the US cinema sector to conclude that the UK industry must be experiencing similar issues. Many also concluded that the rise of subscription services such as Netflix and Amazon Prime must be at the root of these (supposed) problems. The Association worked hard to rebut and disprove these claims, pointing to continuing strong box office revenues and admissions and the unprecedented level of investment being made into the sector. Examples included Association responses in both *The Guardian* and *City AM* as well as a more positive opinion piece in the trade magazine *Variety* and an interview given to *Reuters TV*.

4.4 Media anticipation around the release of *Star Wars: The Last Jedi* towards the end of the year provided another opportunity for the Association to emphasise the continuing enthusiasm shown by the UK public for the cinema-going experience through a round-robin of interviews with *BBC Local Radio* stations.

Economic value of the UK cinema sector

4.5 The release in July of a report by the Office for National Statistics confirming the increasing importance of the wider UK film industry to the national economy provided an opportunity for the Association to emphasise the economic contribution made by cinema operators in particular to their local communities, resulting in positive coverage both in *The Guardian* and on *Radio 5 Live*.

Social value of the UK cinema sector

4.6 The launch of guidance on dementia friendly screenings in October served to raise the profile of the wide range of accessible and other similar screenings undertaken by UK cinemas, maximising their value to local communities. The Association was able to use this as a 'hook' for an opinion piece in the *Huffington Post*, championing the social role of the sector and contributing to a supportive piece on BBC *Newsnight*.

Costs of a cinema visit

4.7 As in previous years, the Association found itself required to respond to often under-researched media pieces about the supposedly high cost of a cinema visit, including ticket prices and the costs of cinema food and drink. It was happy again – in response to TV programme-makers including the BBC and *Channel 4* – to be given a chance to highlight the extent to which cinema ticket prices compare favourably to other out-of-home experiences and the continuing willingness of the cinema-going public to pay for the immersive big screen experience.

Social media activity

4.8 Outside of the issues and press contacts above, the Association continued to use social media channels, including its Twitter feed *@Cinema_UK*, to offer comments and updates on a range of aspects of cinema and cinema-going as well as providing a commentary on its own activities and those of members. By the end of the year the Association's Twitter feed had just under 2,000 'followers', a significant number of those themselves journalists or bloggers.

4.9 Given the increasing importance of social media as a means to communicate, the Association ended 2017 looking again at its approach in this area.



05

Promotion and marketing


CINEMA TO

Cinema First

5.1 During the year, the work of Cinema First, the cross-industry body charged with finding ways to promote and encourage cinema-going, continued.

Meerkat Movies

5.2 The *Meerkat Movies* 2 for 1 cinema ticket promotion, the result of a cross-industry partnership with the price comparison company comparethemarket.com, continued to enjoy strong growth throughout its third year. While the early stages of the partnership had centred on growing the membership base and building the profile of the promotion, in 2017 the focus shifted to driving and increasing the frequency of redemptions.

5.3 This was delivered in particular by the 'Better with Two' creative campaign that began in the first quarter of 2017 and was promoted throughout the year, communicating that a visit to the cinema and the memories created were experiences worth sharing.

5.4 In addition, the promotion enjoyed sustained and widespread advertising across a range of channels, featuring bold creative campaigns centred on: *Spiderman: Homecoming; Kingsman: The Golden Circle; and Star Wars: The Last Jedi.* These title-specific campaigns were supplemented by a generic Summer of Film promotion, aimed at attracting a mainstream family audience, and featuring titles including: *War for the Planet of the Apes; Valerian and the City of a Thousand Planets; The Emoji Movie; Captain Underpants; Nut Job 2;* and *Cars 3.*

5.5 During the course of the year, total redemptions of *Meerkat Movies* codes grew by almost 10 per cent, with the number of redeeming members increasing by more than 14 per cent. At the same time, the *Meerkat Movies* mobile 'app' was downloaded by more than three million users, providing an invaluable and content-rich source of information on cinema locations, screen times and trailers to *Meerkat Movies* members and non-members alike.

Screen Awards

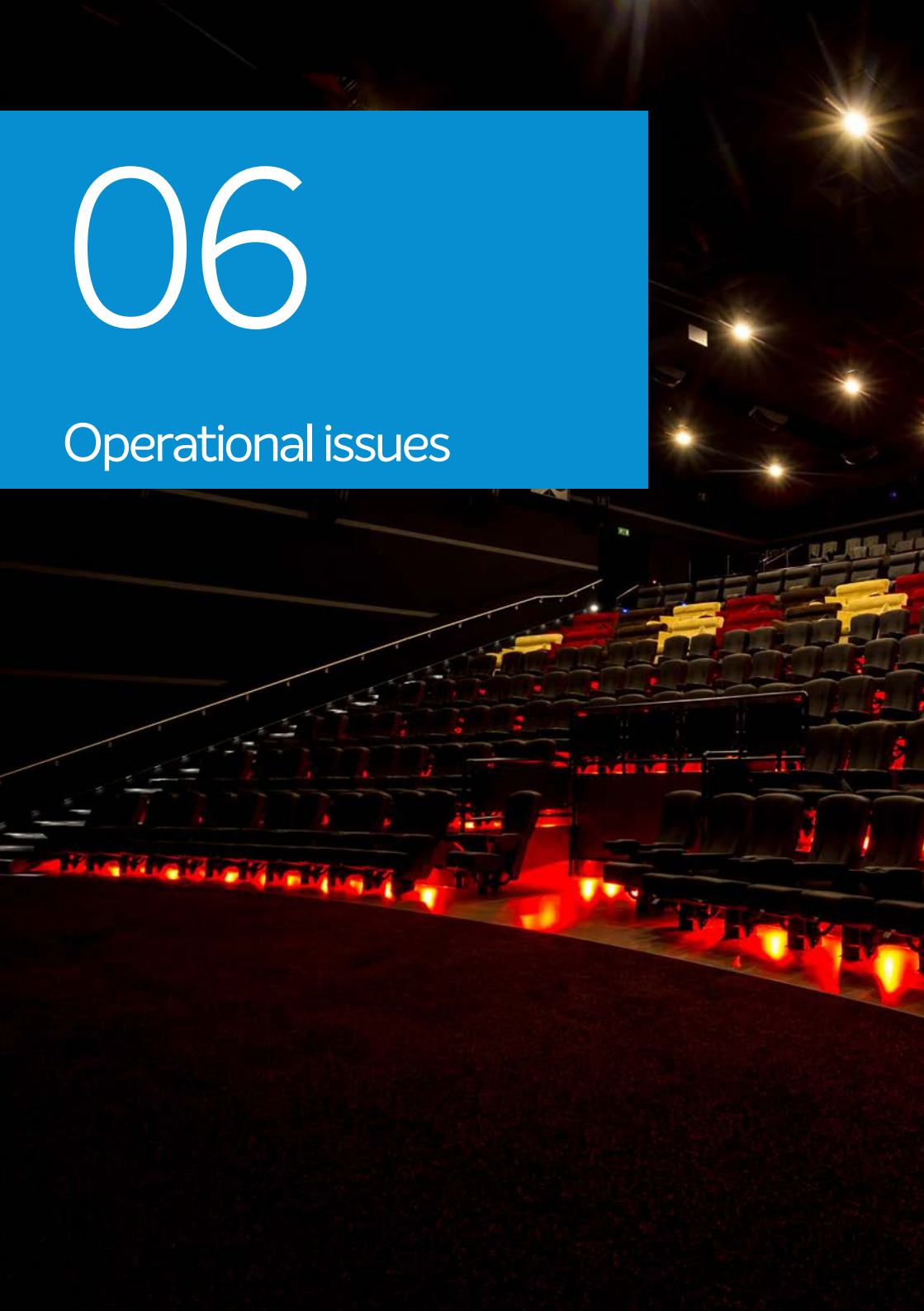
5.6 For the fifth year, the Association supported the long-running Screen Awards, providing an excellent opportunity for the sector to recognise and celebrate excellence and achievement both in exhibition and across the wider cinema industry.

5.7 The Association again sponsored the Exhibition Achievement Award, deservedly given on this occasion to Steve Knibbs, COO of Vue International. The decision to make the award to Steve, who was one of the founding members of a company which has grown rapidly to become one of the largest cinema circuits in the World, was hugely welcomed by colleagues from across the industry.

5.8 The Association also again encouraged applications from members for the two 'cinema of the year' categories, offered to an individual site run by a company with 24 or fewer screens and an individual site run by a company with 25 or more screens respectively. With winners judged not solely on box office and admissions but also on marketing, innovation and outreach, these were hotly-contested categories with the eventual winners – Zeffirellis Ambleside (24 screens or fewer) and the recently-refurbished Vue West End, London – richly deserving of their awards.

06

Operational issues





Film theft

6.1 Efforts continued throughout the year to maintain the sector's success in ensuring the security of UK cinemas, something which has seen an exceptionally small number of films recorded at member sites in recent years. While the lack of up to date data on the overall impact of film theft on the industry remains a frustration (the last reliable figures dating from 2011, when financial losses to the UK cinema sector were calculated at some £216 million or 21 per cent of annual box office) there remains no lack of determination on the part of UK cinema operators to play their part.

Film theft in cinemas

6.2 The Film Content Protection Agency (FCPA), having been created by Film Distributors' Association in the previous year, further established itself during the course of 2017 and achieved continuing success with its programme aimed at preventing film theft in cinemas in the UK and Ireland.

6.3 The year began with the conviction for fraud and copyright infringement of an individual accused of illegally recorded two newly-released films at a local cinema in 2015, which he then posted them on the Internet. The losses caused to the industry estimated to be at least several million pounds, clearly illustrating the importance of rapid intervention in terms of investigation and enforcement activity in such cases.

6.4 2017 saw a continuation of recent success in ensuring content security in UK cinemas, with no illegal recordings traced back to that source; it is now well over two years since the last proven activity, representing the longest period of theatrical protection since the programme commenced back in 2006 (then under the management of FACT – The Federation Against Copyright Theft). That said, the issue has certainly not been eliminated, with 2017 seeing the highest number of reported attempts to record films in cinemas to date, all of which were successfully disrupted by cinema staff.

6.5 Whilst this increase in incidents may reflect the increasing availability of smart phones with recording capabilities, it is also hoped that it results from even greater awareness and vigilance amongst staff – which inevitably leads to a rise in reported activity. Throughout 2017, over 1,500 cinema staff from 52 UK cinemas across attended briefings held by the FCPA and were provided with expert advice and information on how their vigilance could tackle illegal recording.

6.6 Encouraging and incentivising such vigilance and awareness is vital, and the FCPA has continued to acknowledge cinema staff for their efforts in tackling film piracy through its reward programme. Across the year, 35 cinema staff were formally recognised for successfully disrupting attempts to illegally record films and presented with cash rewards at presentations in March and September.

6.7 The FCPA continues to work in close collaboration with other bodies, and in direct partnership with the Motion Picture Association (MPA). The two bodies now share a resource in terms of a dedicated and experienced investigator. 2017 saw nearly 200 cases referred to him for investigation by various bodies including the UK Border Force, Trading Standards and various law enforcement agencies.

Industry Trust for IP Awareness

6.8 Throughout the year, the Association continued to support the work of The Industry Trust for IP Awareness, which is dedicated to changing audience behaviour around piracy and infringement while also providing educational materials for both the consumer and industry.

6.9 Levels of consumption of illegally-obtained film content are relatively static and even the initial surge in 2016 seen in people using Illicit Streaming Devices (ISDs), whereby illegal film and other content is streamed via a stick, set-top box or app downloaded straight to a TV, plateaued during the year. The latest ICM tracker research undertaken on behalf of the Trust found that almost one third of respondents admitted to having engaged with at least one form of infringement in the past year, with 41 per cent of those who admitted accessing films through ISDs claiming to have done so while those films were still in the cinema.

6.10 In a continuing effort to understand the current nature of infringement and its impact on revenue streams, the Trust – working with an expanded coalition of sectors including sports and broadcast – delivered a significantly expanded insights programme throughout 2017. It added online communities, a bespoke youth study covering 7–11 year olds and their parents, and a quarterly tracker to its long-established annual quantitative study.

6.11 The results confirm that, given their desire to access film content in all its forms, ISD infringers continue to be one of the most valuable and engaged audience groups for cinema. Yet those same people are twice as likely to reduce their spending on cinema-going if they move from what might be called more traditional forms of infringement (for example file-sharing) to ISD infringement. The largest growth in ISD infringement has come from family audiences and a slightly older demographic of the 35-plus. A further concerning trend is the migration to paid infringement with more than 50 per cent of ISD infringers admitting to paying one-off or monthly fees to access infringing streaming services.

6.12 In response to these worrying trends, the Trust – in partnership with film charity Into Film – created a bespoke educational resource for use with children aged 7–14 in schools, underlining how to stay safe online when accessing film and TV content. This was supported by a bespoke animation entitled *Meet the Malwares* that engagingly highlighted the different types of virus that can affect a user's computer or personal device.

6.13 Elsewhere, with significant support from the Association and its members, the *Moments Worth Paying For* campaign continued to be a focus, inspiring audiences to choose the big screen experience whilst driving them to another Industry Trust initiative, *FindAnyFilm.com*, providing an intuitive path to purchase cinema tickets.

6.14 During 2017 some of the biggest releases of the year, including *Spiderman: Homecoming, King Arthur: Legend of the Sword* and *The Mummy*, each featured in bespoke *Moments Worth Paying For* trailers, leveraging exclusive pre-release materials to deliver an exciting campaign and generate a combined media value of £7.8 million. The campaign offered an estimated 442 million 'opportunities to see' across 2017, with both reach and value seeing significant increases on previous years.

Disability and access

6.15 During 2017, the Association worked with members and a range of industry partners to ensure that the UK cinema sector continued to develop its approaches around meeting the needs of disabled customers.

6.16 In doing so, the Association was supported by the advice and guidance of its retained disability advisors Freeney Williams, and by its longstanding Disability Working Group (DWG). Comprising representatives from circuit and independent cinema operators as well as colleagues from distribution, technology suppliers and organisations representing disabled people, the DWG met three times during the year, but was involved on a regular basis across a range of relevant issues.

6.17 The Association remains hugely grateful to all of those that support its work on these important issues, and who help to make the cinema-going experience as enjoyable and accessible as possible for all disabled customers. Details of the core workstrands are set out below.

Training and awareness

6.18 The Association has in recent years developed a number of training resources for cinema staff to help them deal with issues around access and disability. Working with Freeney Williams, the Association delivered through 2017 a number of training workshops for cinema managers, with the aim of enabling them better to deal with challenging situations, improving their understanding of the legal framework within which cinemas operate, and building individual confidence and awareness.

6.19 Five workshops across the year involved representatives from a range of member companies. The sessions also allowed participants to share and learn from other's experiences. With increasing demand for such learning opportunities, the Association will continue with this programme into 2018.

6.20 During 2017, the Association for the first time, took disability and access training further afield, delivering a seminar to aspiring cinema operators at the 74th Venice International Film festival. The session formed part of a international training programme for art house exhibitors, created and delivered by the International Confederation of Art House Cinemas (CICAE). The Association provided an overview of the work being done by UK operators on making their cinemas more accessible and inclusive.

Accessible Screenings UK

6.21 The Association remains aware that while the provision of accessible screenings – whether subtitled, audio described or autism friendly – has grown significantly in recent years, levels of awareness and consequently take-up have remained relatively low.

6.22 In an attempt to address this, the Association has developed 'Accessible Screenings UK', a website that aims to be the first fully comprehensive, accessible and searchable listings site for all industry information on UK accessible screenings: *www.accessiblescreeningsuk.co.uk*

6.23 The richness and accuracy of the data available is key to the success of this resource. During 2017, the Association continued its efforts to integrate member datastreams into the website, with the hope of achieving a full launch early in 2018.

Subtitling

6.24 Over the last decade, subtitled (ST) screenings for deaf and hearing – impaired customers – sometimes termed 'open caption' screenings – have grown significantly. There are now over 1,500 ST screenings every week in UK cinemas.

6.25 While this is hugely positive, the general unwillingness of the wider audience to embrace such screenings – and the resultant reluctance of cinema operators therefore to schedule them at peak times – has resulted in something of an impasse, with little likelihood of any significant further increases in provision in the medium term..

6.26 While there have been several attempts to develop and market 'closed caption' devices – personal solutions which allow only the user to see the subtitles and therefore offer a more inclusive cinema experience – to date none have managed to meet the operational and economic demands of the sector. With that in mind, in 2017 the Association began discussions with the charity Action on Hearing Loss around the potential to launch a 'challenge fund' to stimulate innovation in this area. The Association will look to launch this initiative in 2018.

Audio description

6.27 Audio described (AD) screenings are intended to benefit blind and visually-impaired customers and involve an enhanced soundtrack (including descriptions of action on screen) being made available to audience members through headphones.

6.28 The growth and provision of audio described screenings in UK cinemas has been one of the key accessibility achievements in recent years. However, the Association recognises that there remain limitations with the current technology, and during 2017 began discussions with the charity the Royal National Institute for the Blind (RNIB) and others on the possibility of supporting 'app-based' approaches which would allow disabled customers to access AD tracks on their own mobile phones.

6.29 Following a well-received industry demonstration day, the Association worked with RNIB to organise during August a private screening of *Beauty and the Beast* for a specially-invited audience of blind and visually-impaired customers in order further to test this new technology. Feedback from attendees, the majority of whom were regular cinema-goers, was overwhelmingly positive.

6.30 Whilst some concerns around content security remain to be resolved, as the year ended, the Association was working with members to establish a 'live' pilot of this technology during early 2018.

Autism friendly screenings

6.31 Autism friendly screenings (AFS), where sound volumes are slightly reduced, lighting left on at a low level and audience members allowed to move around and make noise, continued to be an area of increasing activity for cinemas 2017, being increasingly popular for people on the autism spectrum and their families who otherwise feel reluctant to attend the cinema.

6.32 Working with relevant representative groups at both the national and local level, a significant number of Association members now run regular and well-attended AFS, with consistent feedback from operators on the benefits this activity provides in growing a local and loyal audience.

Dementia friendly screenings

6.33 While a relatively new development, dementia friendly screenings (DFS) are a growing area of activity for a number of Association members. These involve the creation of a cinema environment that allows people with varying degrees of dementia to enjoy the big screen experience, often featuring 'classic' films from the archive and additional engagement activities for those attending.

6.34 During 2017, in partnership with the BFI Film Audience Network and the Alzheimer's Society, the Association created and launched a dementia friendly screenings guide for cinemas. The guide, endorsed by Alzheimer's Society patron Carey Mulligan, was launched at the Hackney Picturehouse – one of the pioneering cinemas to offer DFS to their local community – in October 2017. Copies were issued to all members.

6.35 This partnership will continue throughout 2018 in order to encourage and offer support to cinema venues wishing to offer DFS.

Changing Places

6.36 One of the key accessibility workstreams for the Association during 2017 was around the provision of Changing Places (CP) facilities, enhanced accessible toilets allowing provision for children and adults with multiple needs, something on which a number of Association members faced increasing pressure, driven by well-organised local social media campaigns as well as significant media interest.

6.37 Following extensive discussion and consideration of detailed legal advice, the Association offered revised guidance to its members, advising on the wide range of factors – not least affordability – that should be considered in coming to a decision on whether the installation of a CP facility at a particular cinema site was reasonable.

6.38 As in a number of areas of access and disability, the Association understands the emotive nature of these issues, and seeks to support its members in adopting a 'best practice' approach, rather than one which is driven by relevant legislation alone.

CEA Card

6.39 The CEA Card scheme, established well over a decade ago, provides one way in which cinemas can meet their obligations under the disability provisions of the Equality Act 2010 to make reasonable adjustments in order to facilitate disabled people visiting their local cinema. A person holding a CEA Card is entitled to a free ticket for someone to accompany them to the cinema.

6.40 During the course of the year, an increasing number of applicants took advantage of the more straightforward online application process introduced in 2014, resulting in continued strong demand for the scheme, with over 120,000 new Cards issued and over one million free tickets provided to ensure that disabled customers were better able to enjoy their cinema-going experience.

Skills and training

6.41 The Association has an ongoing role in supporting its members in ensuring that staff are equipped with the right skills for the modern workplace. This has involved working at the strategic level with the sector skills agency Creative Skillset in ensuring that the framework of support and provision remains appropriate. In addition, Association Chief Executive Phil Clapp is Deputy Chair of that organisation's Film Skills Board as well as representing the film sector on the Creative Industries Council's Skills Board.

Cinema Operative Apprenticeship

6.42 The cinema industry – like any other – relies on the talent and capabilities of all who work within in it. While individual companies within the sector have a strong track record of attracting and retaining talent, there is always of course more that can be done, not least in ensuring greater consistency across the piece.

6.43 In responding to that challenge – and with the arrival of the Apprentice Levy in April – the UK Cinema Association established a recognised sector-specific training standard across the cinema exhibition sector. Working with its members and Lifetime Training – a national training provider for apprenticeships – the Association developed a scheme which builds on the Government-accredited apprenticeships (in either customer service or hospitality, at entry or supervisor level), but which contains a bespoke 'cinema operative' pathway incorporating key elements relevant to the level and likely role of an apprentice working in the sector.

6.44 The 'cinema operative' unit – which covers the following areas: cinema and the wider industry; accessible cinema; cinema technology and presentation; cinema marketing and sales; and cinema audience development – was developed in consultation with a working group of members, including both large and smaller operators. While each company will be free to choose which overarching apprenticeship best suits their needs, the overall aim is to establish a coherent cross-sectoral training and development pathway that is fit for purpose and recognises the skills and knowledge that are specifically needed for working in the modern cinema sector.

6.45 With significant support and involvement from across the whole sector, over 2017 the UK Cinema Association and Lifetime Training piloted the scheme with over fifty apprentices across a range of members. The Association will continue to promote and encourage members to enrol staff during 2018.

Data and analytics

6.46 Reflecting increasing levels of interest around the use of data and analytics to inform more effective approaches around marketing, retail, programming and pricing in the sector, in February the Association chose these issues as the principal subject matter for its two-day annual conference, held at the Odeon BFI IMAX in London and attended by over 300 from across the industry.

6.47 A range of well-received speakers during the day provided a host of case studies and examples of good practice from the UK and elsewhere in Europe, and sought to make clear that this should be an area of increasing importance to the cinema sector, allowing the more efficient and effective targeting of resources.

6.48 One unanticipated outcome of the day was the desire expressed by a significant number of smaller Association members to explore whether there was scope to establish some form of collective deal in this area, allowing them to access relevant services at an affordable cost.

6.49 With this in mind, and having received expressions of interest in this from over 40 members, over the Summer months of 2017 the Association ran a tender exercise to find a suitable data partner for the group, culminating in the appointment of Showtime Analytics as its 'preferred partner'. Preparations for a series of pilot projects were in place as the year ended.

Digital cinema

6.50 The conversion to digital cinema technology, which took place now almost ten years ago, has proved to be transformational for the sector, bringing with it the ability to be much more flexible in terms of programming as well as opening up revenue streams from event cinema and digital 3D. That said, there remain challenges the navigation of which the Association remains ready to assist its members.

6.51 This was no better exemplified than at the second day of the Association's 2017 annual conference, held at the Cineworld at the Empire Theatre, Leicester Square in March, where those attending heard sessions reflecting on the challenges presented by developments in high dynamic range, immersive audio and laser illumination.

Digital Funding Partnership

6.52 The Digital Funding Partnership, established by the Association in 2008, supported member representing over 100 sites/300 screens in negotiating a collective deal for the purchase and installation of digital cinema projection equipment via a shared 'Virtual Print Fee' (VPF) scheme. That scheme, which relied on significant funding support from colleagues in film distribution, allowed a large number of smaller sites to find a deal which would allow them to convert.

6.53 The current Partnership funding deal is due fully to recoup in early 2019, at which point members will take full ownership of the digital projection equipment. While that is undoubtedly a positive (and the Partnership represents in many ways a unique commercial collective), the minds of all operators are already turning to what comes next both in terms of ongoing upgrades and the eventual need to replace the current digital platform.

6.54 Towards the end of the year, and in the absence of any likely further industry-wide funding support for cinema operators, the Association began initial discussions with a range of technology partners on their thinking on the deals that might be achievable for members (including but not limited to those involved in the DFP) in this regard. Those discussions are only likely to accelerate during 2018.

SMPTE DCP test

6.55 During the course of the year, the Association took the lead in progressing the UK and Ireland stage of the SMPTE DCP test, a global exercise intended to support the introduction of a new and more stable digital platform for film content. At a basic level, the test was intended to offer cinema operators reassurance that their projection equipment was capable of screening content mastered according to this new format.

6.56 Although the Association led in co-ordinating the test, it inevitably relied on the support of a range of partners, in particular the European Digital Cinema Forum, but also colleagues at Unique Digital, Deluxe Technicolor, Motion Picture Solutions and Wide Eye Media. Test content was issued to all cinemas in August, and further encouragement and support then provided to operators such that by the end of the year around 84 per cent of screens across the two territories had been successfully tested.

Picture format issues

6.57 There are occasions when a director decides for creative reasons that they would like their film to be projected in cinemas in a 'non-traditional' format or aspect ratio. When this happens then the relevant distributor will ordinarily provide sufficient notice to Association members such that – as far as is practical – these wishes can be acted upon by each cinema operator, who will of course wish audiences to see the film as the director intended.

6.58 However, where such instructions are unclear, or where there is in practice insufficient notice to allow all cinemas to accommodate these wishes, then the Association can find itself acting as a go-between between the two sides in order that there is a shared understanding as to what is desired and possible. This occurred on a number of occasions during 2017, and further underlines the need for dialogue between cinema operators and the creative community.

Cinema sound levels

6.59 A key aspect of the cinema experience is the opportunity to see a film on the big screen with the best possible sound. Not least through the increasing uptake of 'immersive sound' technology at sites of all sizes, cinema operators are making massive investments in this aspect of the cinema environment.

6.60 One consequence of this investment is that cinema sound systems are now very much more powerful, leading to volume levels which a very small number of cinema customers will on occasion find uncomfortable. While the Association would always advise audience members experiencing discomfort to raise this with cinema staff, there are instances where the sound mix of particular film leads to more widespread concerns.

6.61 During 2017, the Association supported members with regard to a small number of major film releases where these issues arose, liaising with relevant colleagues in distribution to ensure that audience comfort as well as the creative vision of the director were maintained.

Film classification – parent and baby screenings

6.62 Recent years have seen significant growth in the number of 'parent and baby' screenings provided by Association members. These have proved increasingly popular, providing an opportunity for young parents in particular to network with others in a similar position and to counter the isolation that can sometimes arise for those caring for very young children in particular.

6.63 The accepted interpretation of current film classification legislation dictates that – given the presence of children in the audience – no films with a certificate above '12A' should be screened as part of this strand of activity. However, an increasing number of Association members face requests from customers to show films at '15' or even '18', the argument being that very young children in particular are unlikely to be sufficiently aware of their surroundings to be negatively affected by such content.

6.64 While advice to members continues to be not to includes films classified above 12A in such screenings, the Association is aware of a number of instances where the relevant local authority (which has the ultimate decision-making role in such matters) has allowed – with some additional safeguards – the showing of films outside of these classifications. This has been achieved in the main through the establishment of some prior notification process or the establishment of a separately managed 'club'.

6.65 In order to bring some greater consistency in this area, and in the hope of allowing more of its members to meet the demands of this audience, in late 2017 the Association began a dialogue with both the BBFC and the Local Government Association (LGA – the body representing local authorities in England and Wales) in the hope of identifying best practice which might be more widely promoted and shared.

Cinema security

6.66 The need to ensure the comfort and security of audiences remains a paramount concern for all cinema operators. At the same time, there is an understanding that whatever measures are taken should be proportionate and not unnecessarily detract from the enjoyment of the big screen experience.

6.67 That said, the nature of a number of high profile incidents in London, Manchester and elsewhere during 2017 prompted a reassessment by Government of its systems and procedures, with a renewed focus on how best the private and public sector could work together, not least through more effective communications, and better and additional training and education of staff on helping to deter and prevent future incidents.

6.68 With these issues in mind, during the course of the year, the Association attended a number of related Government meetings and wider security think-tanks, as well as disseminating related guidance, training materials and updates to members to ensure that all were adequately equipped to cope with a range of challenging scenarios.

6.69 Recognising that regardless of the security measures in place, all places where people gather are to a degree vulnerable, in June over a dozen cinemas in Greater Manchester came together to hold a fund-raising screening of *Wonder Woman* in support of the British Red Cross campaign launched followed the terrorist attack on Manchester Arena the previous month. With the generous support of colleagues at Warner Bros, these screenings were able to raise over £10,000 towards the fund.





07

Partnerships



International

7.1 Throughout 2017, the Association continued to draw strength from its partnership with organisations across a wide range of cinema territories as well as closer to home.

UNIC

7.2 The Association continued closely to involve itself with the work of the European trade grouping the Union Internationale des Cinémas (UNIC – International Union of Cinemas), now bringing together cinema trade associations and key operators from across 37 territories and of which the Association's Chief Executive Phil Clapp serves as President. Meetings in Brussels, Cannes, Barcelona and Paris allowed the sharing of information, ideas and expertise and information with European colleagues on admissions, release windows, film theft, cinema security, music rights, ticket subscription schemes and disability and access.

7.3 The year saw UNIC continue to work with colleagues from across the wider European sector to ensure that European Commission proposals around establishing a 'Digital Single Market' for film reflected the realities of the modern industry, where demand for non-domestic foreign language films is often limited at best.

7.4 Here and elsewhere, the organisation continued to promote an informed view of the modern industry with key politicians and policy-makers, using the Cannes Film Festival to launch its Innovation and the Big Screen report, cataloguing case studies across a wide range of areas where the European cinema sector was promoting new and innovative practice around audience engagement and technology.

7.5 The year also saw the CineEurope event, the official convention of UNIC and now in its sixth year in Barcelona, continue to go from strength to strength. The 2016 event brought together over 3,200 professionals from across the European cinema industry to discuss issues of common concern and learn more about emerging technologies and business challenges. The Association was pleased again to be able to negotiate an additional discount for smaller operator members, many of whom were as a result able to attend for the first time.

7.6 CineEurope 2017 also saw the launch of the UNIC Women's Leadership Programme, a new initiative intended to identify and provide support for talented female executives making their way in the industry by providing tailored mentoring from a senior woman colleague from elsewhere in the sector. The Association was delighted when colleague Gráinne Peat was enrolled within the programme.

NATO

7.7 The Association's relationship with the National Association of Theatre Owners (NATO), representing cinema exhibitors in North America and beyond, continued to be a source of strength in 2017. Dialogue between the two organisations covered a range of issues, including public health, music rights, minimum wage levels, film theft, disability and access and cinema security.

Global Cinema Federation

7.8 June 2017 saw the launch of the Global Cinema Federation, a grouping of the largest international cinema operators and key cinema trade bodies (including the UK Cinema Association) reflecting the increasingly international nature of the cinema industry, evidenced in particular by significant levels of consolidation currently underway in the exhibition sector.

7.9 During its early stages, the Federation identified a number of key areas of shared interest amongst its members, on which it would develop agreed approaches and/or policy positions. These included: theatrical exclusivity; music rights; film theft; cinema technology; accessibility; and international trade. Further details on this work were emerging as the year closed.

National

Executive Board

7.10 The Executive Board met four times during 2017, discussing a range of strategic issues including the *Meerkat Movies* promotion, the relationship with the British Film Institute, data and analytics, disability and access, film theft, pro-cinema messaging, the Apprenticeship Levy and related apprenticeship pilot and cinema security. The Board also heard presentations from colleagues representing the British Independent Film Awards, the Cinema and Television Benevolent Fund, the Film Content Protection Agency, the Industry Trust for IP Awareness, Into Film, MediCinema and the National Film and Television School. During the year, the Association was delighted to welcome Picturedrome Cinemas to its Executive Board.

Regional branches

7.11 Smaller operator members of the Association have historically been organised into regions. During the course of 2017 colleagues in Northern Ireland came together for the first time to establish a branch, now adding to longstanding groups in Scotland, the West of England, the Midlands and North of England and London and South East England respectively.

7.12 Over the course of the year, branch meetings were held at Peckhamplex and the Komedia, Brighton (London and South East), Electric, Birmingham and the Light, Sheffield (North and Midlands), Regal Cinema, Redruth and Everyman, Bristol (West of England) and Grosvenor, Glasgow and Cameo, Edinburgh (Scotland) and Chapter Arts Centre, Cardiff (Wales), Movie House City Side, Belfast and Queen's Film Theatre, Belfast (Northern Ireland).

7.13 The Association is grateful in particular for the support of the elected Chairs of each of its regional branches.

Other partners

7.14 The Association enjoys the support of a wide range of industry and other partner organisations throughout the year. Principal amongst these were colleagues at the Film Distributors' Association and elsewhere in film distribution, with whom it discussed a wide range of strategic and operational issues, including accessible cinema, film delivery and film classification.

7.15 Over the course of the year, the Association also looked to strengthen links with two key industry charities: the Cinema and Television Benevolent Fund, a long-standing partner providing welfare and other support to those working in the film industry; and MediCinema, a more recently-formed organisation, building and running cinemas in hospital settings. The Association will continue to develop this dialogue over 2018 and beyond.

7.16 Many of the other key partner organisations without whose support the Association could not do its work are mentioned elsewhere in this report, but also included the Independent Cinema Office, the British Screen Advisory Council, the British Association for Screen Entertainment, the Cinema Technology Committee, the Event Cinema Association, Moving Picture Distribution and the screen advertising agencies Pearl & Dean and Digital Cinema Media. Particular thanks are again due to colleagues at the Cinema Advertising Association, IHS Markit and ComScore for their support across the year in providing key statistics and data.

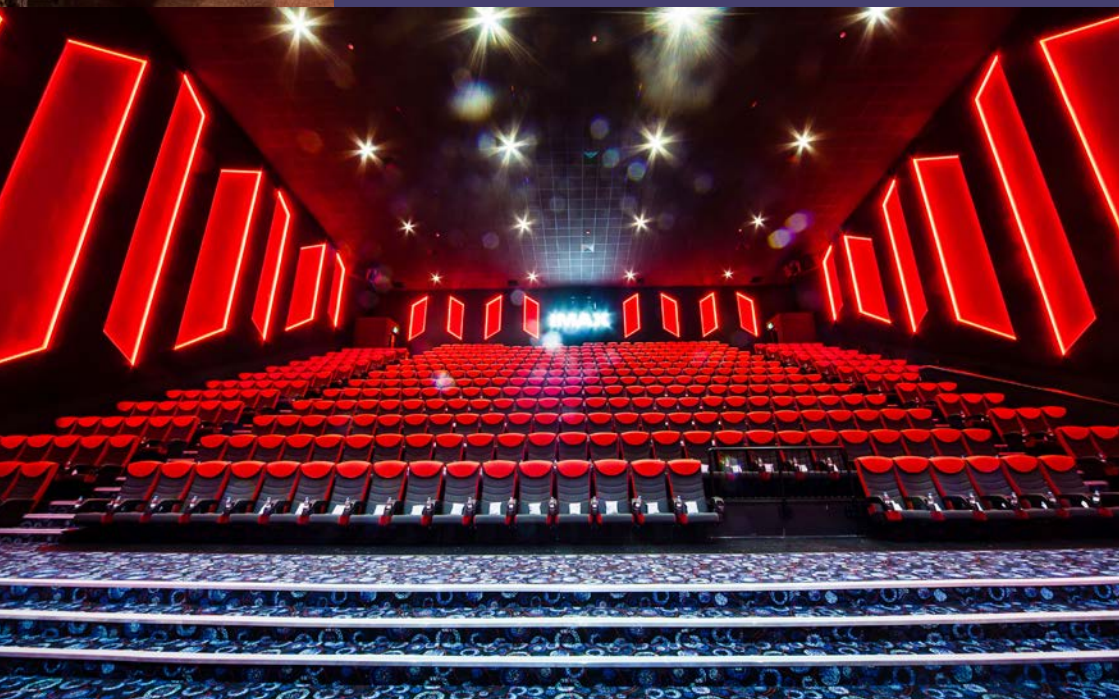
7.17 The Association is grateful to all those who supported its work during 2017.





08

Finance



Profit and loss account for the year ended 31 December 2017

	2017 £	2016 £
Turnover	**467,942**	428,715
Administrative expenses	**(458,112)**	(509,380)
Operating profit/(loss)	**9,830**	(80,665)
Other interest receivable and similar income	**909**	2,347
Profit/(loss) on ordinary activities before taxation	**10,739**	(78,318)
Tax on profit/(loss) on ordinary activities	**175**	—
Retained profit/(loss) on year	**10,564**	(78,318)

Balance sheet as at 31 December 2017

	2017 £		2016 £	
Fixed assets				
Tangible assets		**1,080**		5,542
Current assets				
Debtors	**159,382**		86,390	
Cash at bank and in hand	**2,162,769**		1,276,682	
	2,322,151		1,363,072	
Creditors: amount falling due within one year	**(2,073,255)**		(1,129,202)	
Net current assets		**248,896**		233,870
Net assets		**249,976**		239,412
Reserves		**239,412**		317,730
Profit and loss account		**10,564**		(78,318)
Members funds		**249,976**		239,412

Excerpts from the UK Cinema Association Ltd Accounts 2017.

Past Presidents

CEA Ltd Executive Board Chairman

Barry Jenkins, OBE	2005–12

CEA Executive Board Chairman

Barry Jenkins, OBE	1999–2005
S Fishman, CBE	1994–99
R C Warbey	1993–94
I N Riches	1992–93
M J Vickers	1990–92
E J Lee, MBE	1985–90
D F Chamberlain	1984–85
G W Rhodes	1982–84
R J Dowdeswell	1980–82
D M Cameron	1979–80
S Shurman	1977–79
C W A Painter	1976–77
R J Dowdeswell	1974–76
Miles P Jervis	1973–74
Victor Chapman	1972–73
Kenneth Rive	1970–72
Wyndham Lewis, OBE, JP	1969–70
J K Stafford Poole	1968–69
H S Roelich	1967–68
Wyndham Lewis, OBE, JP	1966–67
J F Wood	1965–66
Peter King, MA	1964–65
G L Barber, Ald, JP	1963–64
Miles M Jervis	1962–63
S K Lewis	1961–62
Alfred Davis	1960–61
J D Richards	1959–60
E J Hinge, CBE	1958–59
George Singleton, CBE	1957–58
B T Davis, FSAA	1956–57
R H Godfrey, JP	1955–56
C H Whincup	1954–55
J W Davies, OBE	1953–54
W J Speakman	1952–53
H P E Mears, Ald, OBE, JP	1951–52
A B Watts, FSAA	1950–51
Sir Alexander B King, CBE, DL, LD, JP	1949–50
Dennis C Walls	1948–49
B T Davis, FSAA	1947–48
Fred A Prior, FSAA	1946–47
G H Scarborough	1945–46
Sir W S Clift	1944–45
H Simpson, Counc	1943–44
W J Speakman	1942–43
S K Lewis	1941–42
H P E Mears, Ald, OBE, JP	1940–41
E J Hinge, CBE	1939–40
M A Nyman, BSc	1938–39
C P Metcalfe	1937–38
T H Fligelstone, Col, MC	1936–37
R Dooner	1935–36
J Pollard, Counc, JP	1934–35
J Welsh, Baillie	1933–34
R E Richards, Ald	1932–33
R V Crow	1931–32
W Stephenson	1930–31
F H Cooper	1929–30
H Victor Davies	1928–29
E Hewitson, Counc	1927–28
W N Blake	1926–27
Thos Ormiston, CBE	1925–26
J H Dovener, Counc	1924–25
A J Gale, Maj, OBE, MCC, JP	1923–24
E Trouson, Ald, JP	1922–23
C G MacDonald, JP	1921–22
R R Goodwin, CBE, MCC	1920–21
A E Newbold, MP	1915–20
W Fowler-Pettie	1914–15
R Tennyson-Jupp, Dr	1913–14
E M Barker	1912–13

UK Cinema Association Ltd
Executive Board Members – April 2017

Phil Clapp, Chief Executive
James Collington, Honorary Treasurer

Larger Operator Board Members / Nominated Substitutes

Cineworld Cinemas – Matt Eyre / Shaun Jones

Curzon Cinemas – Rob Kenny / Alex Sheldon

Empire Cinemas – Justin Ribbons / Paul Baxter

Everyman Cinemas – Crispin Lilly

Light Cinemas – Keith Pullinger / Mike Thomson

Movie House Cinemas – Michael McAdam / Hugh Brown

Natl Amusements (UK) – Duncan Short / Mark Barlow

Picturedrome Cinemas – Adam Cunard

Odeon Cinemas – Carol Welch / Gino Casciani

Reel Cinemas – K C Suri / Naveen Suri

WTW Scott Cinemas – Mark Williams / Peter Hoare

Vue International – Kevin Styles / Dominic Rowell

Smaller Operator Board Members / Nominated Substitutes

The Picture House, Uckfield – Kevin Markwick (London and South East)

Savoy Cinemas – James Collington / **Zeffirellis, Ambleside** – Dorothy Smith / **Reels on Wheels** – Robert Johnson (North and Midlands)

Pavilion Cinema, Galashiels – Andrew Poole / Neil Poole (Scotland)

Chapter Arts Centre, Cardiff – Sally Griffith (Wales)

Wells Film Centre – Sally Cooper (West of England)

UK Cinema Association – Head Office

Phil Clapp
Gráinne Peat
James Connor

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